HALCYON RIDGE HEALTH SYSTEM | ENTERPRISE AI ENABLEMENT ADVISORY

Executive Decision & Authorization Record

What must be decided, what must be committed for the decision to be executable, and who owns each

Document	HRHS-AI-04	Version 2.1	November 2026 (supersedes v2.0)	Prepared by: Reginal Campbell, PMP
Audience and purpose	Executive sponsor (COO), CEO, and the ELT as decision body. Present the decision, its dependencies, controls, and decision rights, and record the actual outcome.
Decision status	DECISION PENDING (hypothetical). Prepared for ELT decision on December 9, 2026. No decision, approval, or signature has been recorded.
Classification	FICTIONAL CASE STUDY. All organizational details, interviews, figures, dates, and findings are simulated scenario data, estimates, or labeled assumptions. No real engagement, approval, or result is claimed. Not a description of any real organization.

Decision statement

> **DECISION REQUESTED**
>
> Select HRHS's approach to enterprise AI enablement and authorize the FY2027 Phase 1 funding, governance, and capacity commitments needed to execute it.

Option	Score	Advisory position (Document 03)
A. Targeted, Vendor-Led	3.43	Preferred if AI scope stays at one or two use cases or capacity cannot be released.
B. Governed, Phased	3.52	**Provisionally recommended**, conditional on D-05 and V-07.
C. Platform-First	2.51	Only if capacity is freed and a broad portfolio is committed.

Decisions requested

ID	Decision	Approver	Consulted
D-01	Adopt Option B for FY2027, conditional on D-05.	CEO	ELT
D-02	Authorize up to $3.75M: Tranche 1 $1.5M at authorization (Days 1 to 90); Tranche 2 $2.25M at Gate G4 on evidence. Contingency $0.75M held by CFO. Wave 2 is not included.	CFO	CIO/CTO, COO
D-03	Charter the AI Steering Committee (monthly) and AI Risk Review Board; adopt interim AI policy and controls MC-01 to MC-10.	CEO	General Counsel, CPO, CISO
D-04	Register P-01 and P-02 within 30 days; hold P-01 at current scope pending clinical safety review; replace auto-renewal with a 90-day extension.	CMO (P-01); CFO (P-02)	CMIO, CPO
D-05	Provisional named allocations by Day 15; validation against ERP/EHR release calendars by Day 20 (below). Any allocation unavailable in the delivery window triggers Document 08 before Tranche 1 spend beyond governance.	CIO/CTO with ERP and EHR executive sponsors	COO, CFO

Authorization dependencies: what makes the decision executable

Approving Option B does not create engineering capacity. Capacity moves through four states: planned (in the estimate), provisionally committed (named allocation submitted), validated (confirmed against ERP/EHR release calendars), and available in the delivery window. The decision is executable only when these commitments reach the validated state:

Commitment	Hours (yr 1)	Owner	Provisional / validated
Release ERP item-master data specialist(s)	2,000	ERP Program Director	Day 15 / Day 20
Release integration engineer (iPaaS)	1,200	Director, Integration	Day 15 / Day 20
Reserve security architecture review slots	900	CISO	Day 15 / Day 20
Assign enterprise architect	500	CIO/CTO	Day 15 / Day 20
Onboard 4,600 hours of replacement contractors on ERP/EHR	4,600	ERP and EHR Program Directors	Start Day 15; productive Day 45
Onboard 2,600 hours of contracted AI program capacity	2,600	AI Program Director	Day 15 / Day 20
Confirm 6,800 uncommitted internal hours stay unallocated	6,800	PMO Director	G0

Key assumptions and residual risks

Decision-critical assumptions: A-01 envelope; A-04 contractor rate; A-05 P-01 vendor terms; A-06 replacement ramp-up; V-07 portfolio intent. If A-01 or D-05 fails, revisit D-01 before mobilization.

ID	Residual risk	Rating	Owner
R-01	Unresolved PHI vendor risk in P-01 (terms unverified; no violation identified)	High	CPO (acceptance by ELT)
R-05	Provisional allocations fail validation; Wave 1 slips	High	CIO/CTO
R-07	Benefits smaller than case; Wave 1 alone does not repay cost	High	CFO
R-03	Documentation errors in P-01 notes	Medium	CMIO
R-08	Workforce distrust in revenue cycle	Medium	CHRO

Mandatory controls: legal obligations versus HRHS policy

Controls apply under every option, scaled by risk tier. Executive risk acceptance covers residual business risk only and **cannot waive legal, privacy, security, or clinical safety requirements**.

ID	Control	Basis
MC-01	Register every AI use in the inventory before purchase, pilot, or deployment.	HRHS policy
MC-02	Risk tier: Tier 1 administrative, no PHI; Tier 2 PHI or financial impact; Tier 3 clinical or patient-impacting.	HRHS policy
MC-03	Privacy review: HIPAA permitted use, minimum necessary, BAA where PHI is involved; no vendor training on HRHS data without approval.	HIPAA (legal) plus policy
MC-04	Security review: access, logging, encryption, AI vendor assessment.	HIPAA Security Rule (legal) plus policy
MC-05	Pre-deployment evaluation against documented acceptance criteria.	HRHS policy (NIST AI RMF aligned)
MC-06	Named accountable owner; human review of outputs for Tier 2 and 3.	HRHS policy

ID	Control	Basis
MC-07	Tier 3 clinical safety review (CMIO). Section 1557 assessment under 45 CFR 92.210 where a tool is a patient care decision support tool; device status assessed by regulatory counsel where relevant.	Legal where applicable plus policy
MC-08	Production monitoring and incident response integration.	HRHS policy; HIPAA incident duties apply
MC-09	Contract terms: data use, retention, audit, change notification, exit.	HIPAA BAA (legal) plus policy
MC-10	Decommission and exit plan before go-live.	HRHS policy

Decision rights

Role	Authority
CEO	Final approver for D-01 and D-03; option changes.
CFO	Funding, tranche and contingency release; benefit validation.
COO (Executive Sponsor)	Accountable for outcomes; chairs Steering Committee.
CIO/CTO	Technical authority; accountable for capacity commitments (D-05).
ERP and EHR executive sponsors	Approve release of committed specialists or any change to ERP/EHR milestones.
CMO / CMIO	Approve or stop Tier 3 use on clinical safety grounds.
CPO, CISO	Halt any use failing MC-03 or MC-04; not overridable by risk acceptance.
AI Program Director (advisory and delivery lead)	Recommends, coordinates, escalates; no approval authority over D-01 to D-05.

Deadline, deferral, and reconsideration

Decision by December 9, 2026. Deferral past December 31 likely forfeits the envelope, lets P-01 auto-renew with expansion on January 31, 2027, and leaves new AI purchases uncontrolled. Reconsider D-01 if: the envelope falls below $3.0M; D-05 allocations fail validation and recovery options do not close the gap; the P-01 vendor refuses amended terms; capacity is freed (revisit C); Wave 1 fails acceptance at G4; or federal or state requirements change materially.

Record of executive decision

To be completed at the time of decision. Intentionally blank.

Option selected; D-01 to D-05 (approved / modified / deferred / declined):

Conditions imposed and capacity commitments confirmed:

Risks formally accepted (with owner):

Approvers, titles, dates; next review date: